

$$P_{st} = \zeta_s + \psi_t + \gamma T_{st} + \alpha Z_{st} + \varepsilon_{st}$$

- P_{st} = Expenditure of a particular type in a state s at a time t
- ζ_s = State fixed effect
- ψ_t = Year effect
- T_{st} = One if the governor in office in year t cannot run again
- Z_{st} = Control variables